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# Investment Committee Memo: Northstar Growth Equity Fund IV

Date: [Insert Date]

Prepared by: [Your Name]

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## 1. Top 3 Risks

### 1. Underperformance Relative to Target IRR

- **Evidence:** Net IRR of 16.8% is below the target IRR of 18.0% (Flag: UNDER\_TARGET\_PERFORMANCE).
- **Risk:** The fund may not meet its stated underwriting targets, potentially impacting investor returns.

### 2. Reliance on Unrealized Appreciation

- **Evidence:** Notes indicate that unrealized appreciation materially contributes to the current TVPI of 1.62x.
- **Risk:** Realized returns may be lower if unrealized gains do not materialize as expected.

### 3. Management Fee Structure Changes

- **Evidence:** A revised management fee of 2.25% on new LP commitments is planned for 2026, compared to the current 2.00%.
- **Risk:** Higher fees could impact overall fund economics for new investors and existing LPs if not properly aligned with performance.

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## 2. Inconsistencies

### Management Fee Evidence

- **Issue:** The evidence snippet for the management fee (2.00% on committed capital) is not found verbatim on the cited page (Page 2 of Northstar Growth Equity Fund IV.pdf).
- **Implication:** There is a low confidence level (0.294) in the reported management fee, raising questions about data accuracy.

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## 3. Recommendation: INVESTIGATE

### Justification:

1. **Performance Shortfall:** The net IRR of 16.8% is below the target IRR of 18.0%, warranting further investigation into the drivers of underperformance (Flag: UNDER\_TARGET\_PERFORMANCE).
2. **Unrealized Appreciation:** The material contribution of unrealized gains to TVPI requires scrutiny to assess the sustainability of returns.
3. **Management Fee Inconsistency:** The low confidence level in the reported management fee and the planned increase to 2.25% necessitate clarification to ensure alignment with fund economics.

**Questions to Ask:**

- What specific factors are driving the net IRR shortfall relative to the target?
- How realistic are the unrealized gains contributing to the current TVPI?
- Can the fund provide verifiable evidence for the current 2.00% management fee structure?

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**Prepared for:** Investment Committee

**Action Required:** Further investigation before making a final decision.

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